

TENTATIVE RULING

Stefanie James
v.
Donald D. Chapin, Jr., et al.,
26CV003049

Plaintiff's Application for Preliminary Injunction

Hearing Date: September 17, 2026

Plaintiff Stefanie James ("Plaintiff") applies for an order enjoining Defendant The Don Chapin Co., Inc. ("DCCI"), as well as Defendants Donald D. Chapin, Jr., Donald D. Chapin, III, and Caroline D. Chapin, in their individual and other capacities (collectively, "Defendants"), from altering shareholder rights before the court adjudicates the Seventh Cause of Action in her Verified First Amended Complaint ("FAC"). [Reply at 5:11-18.] Specifically, the application seeks to enjoin Defendants from engaging in the following conduct: (1) removing DCCI's close-corporation status; (2) amending Articles VII and VIII of the operative DCCI Bylaws [Exh. C to Plaintiff's Decl., filed 8/28/26, at p. 2]; (3) adopting DCCI's proposed First Amended Bylaws; (4) any post-vote acts that would carry those measures into effect; and (5) reissuing additional shares. [*Ibid.*; *see also* Temporary Restraining Order, filed 9/16/26, at ¶ 4.] DCCI and Mr. Chapin, Jr. oppose Plaintiff's requested relief.

After reviewing all submitted evidence and considering the interrelated factors of likelihood of prevailing at trial and the balance of interim harms, Plaintiff's Application for Preliminary Injunction is **DENIED**. Plaintiff has not demonstrated a sufficient probability of success on her dissolution claim or any showing of irreparable injury warranting injunctive relief. Monetary remedies remain available to Plaintiff on her fiduciary-duty-based claims, and Defendants have represented that Plaintiff will not lose standing on her dissolution claim even if DCCI's close-corporation status is eliminated. Although the Court recognizes Plaintiff's concern that corporate conversion may alter the litigation landscape, Defendants' stipulation and representations effectively mitigate that concern under the doctrine of judicial estoppel.

As detailed below, DCCI's evidentiary objections are **OVERRULED**, and Mr. Chapin, Jr.'s request for live testimony is **DENIED**.

DCCI shall prepare the Proposed Order consistent with this Tentative Ruling.

Factual and Procedural Background.

This action arises from disputes within a long-standing family-owned construction business. Don Chapin originally established DCCI in 1979. [FAC at ¶ 11.] His children include Mr. Chapin, Jr. and Marilyn D. Valentine. [See Plaintiff's Decl., filed 8/28/26, at ¶ 2.] Plaintiff is Ms. Valentine's daughter, Mr. Chapin's granddaughter, and Mr. Chapin, Jr.'s niece. [*Ibid.*]

Mr. Chapin, Jr. is DCCI's President, Chief Executive Officer, and board member. [FAC at ¶ 8.] Mr. Chapin, Jr. created trusts in 2021 ("2021 Trusts") as part of his estate plan to convey his shares equally to his son, Mr. Chapin, III, and his daughter, Ms. Chapin. [Mr. Chapin, Jr.'s Decl., filed 9/8/26, at ¶ 2.] Plaintiff alleges that Mr. Chapin, Jr. is the "settlor and practical controller" of the 2021 Trusts, which hold 66.5% of voting shares. [FAC at ¶¶ 8-10.]

Plaintiff is a second-generation beneficiary who inherited 1,153 shares in DCCI outright upon Ms. Valentine's death in 2023. [FAC at ¶ 7.] Plaintiff also holds a one-fifth beneficial interest in multiple family stock trusts. [Plaintiff's Decl., filed 8/28/26, at ¶ 4.]

On June 12, 2026, Plaintiff filed the FAC following proposals circulated regarding restructuring. In the relevant part, Plaintiff alleges in her Seventh Cause of Action for Involuntary Dissolution that DCCI has acknowledged her "entitlement, share count, certificates, forthcoming delivery, and right to vote." [FAC at ¶ 90.] Therefore, DCCI "is estopped, or equitably precluded, from denying Plaintiff's shareholder status to defeat her statutory remedies. Under Corporations Code section 1800(a)(2), any shareholder of a close corporation may file a verified complaint for involuntary dissolution on the grounds specified in section 1800(b)." [*Ibid.*] Plaintiff alleges two grounds. [*Id.* at ¶¶ 91-92.] First, under section 1800, subdivision (b)(4), Mr. Chapin, Jr. and his two children, in their individual and administrative capacities under the 2021 Trusts, "have been guilty of, or have knowingly countenanced, persistent and pervasive abuse of authority and persistent unfairness toward [DCCI's] minority shareholders, and [DCCI's] property is being misapplied and wasted by its directors and officers." [*Id.* at ¶ 91.] Plaintiff lists the various conduct associated with that allegation. [*Ibid.*] Second, under section 1800, subdivision (b)(5), Plaintiff alleges, in part, that "[n]o remedy short of dissolution – or statutory buyout that section 2000 substitutes for it – protects her interests." [*Id.* at ¶ 92.]

Following mediation and a stipulation to stay most civil proceedings [Brilliant Decl., filed 8/28/26 at ¶ 5], DCCI circulated updated proposals for substantial corporate restructuring, including removal of close-corporation status, amendments to Articles VII and VIII, and adoption of First Amended Bylaws [Plaintiff's Decl., filed 8/28/26, at ¶¶ 10-13 and Exh. C]. A shareholder meeting was noticed for September 16, 2026. [*Ibid.*]

On August 28, 2026, Plaintiff filed an ex parte application seeking to halt the September 16, 2026, meeting and freeze all related corporate actions. The Court orally granted the Temporary Restraining Order on September 1, and filed the signed order on September 16. Extensive briefing followed, including declarations addressing trust history, DCCI's growth, DCCI's dividend history (none in 47 years), alleged breaches of fiduciary duties, proposed stipulations, compensation records, and corporate financials.¹

Plaintiff argues that conversion from a close corporation, as defined in Corporations Code section 158, subdivision (a), will undermine her dissolution claim and permanently alter shareholder rights. Defendants argue the vote is lawful, Plaintiff faces no irreparable harm, and she retains standing to pursue dissolution regardless of the corporate form. Defendants contend

¹ The Court considered the entirety of Plaintiff's overlong reply brief. [Cal. Rules of Ct., rule 3.1113, subd. (d).]

Plaintiff seeks to exercise a minority veto and that her claims of oppression, mismanagement, and unfairness lack evidentiary support.

Legal Standard.

When courts decide whether to grant a preliminary injunction, they typically evaluate two factors: (1) the likelihood that the plaintiff will succeed on the merits, and (2) the balance of harms caused by granting or denying the relief. [*White v. Davis* (2003) 30 Cal.4th 528, 553-554; *Smith v. Adventist Health System/West* (2010) 182 Cal.App.4th 729, 749.] These factors are interconnected; a strong showing in one can offset a weaker showing in the other. [*Dodge, Warren & Peters Ins. Services, Inc. v. Riley* (2003) 105 Cal.App.4th 1414, 1420.] “For example, if it appears fairly clear that the plaintiff will prevail on the merits, a trial court might legitimately decide that an injunction should issue even though the plaintiff is unable to prevail in a balancing of the probable harms.” [*IT Corp. v. County of Imperial* (1983) 35 Cal.3d 63, 72-73.] “On the other hand, the harm which the defendant might suffer if an injunction were issued may so outweigh that which the plaintiff might suffer in the absence of an injunction that the injunction should be denied even though the plaintiff appears likely to prevail on the merits.” [*Ibid.*]

The requesting party must prove both a likelihood of success and irreparable harm. [*Savage v. Trammell Crow Co.* (1990) 223 Cal.App.3d 1562, 1571.] Irreparable harm can be established if the plaintiff shows that legal remedies are inadequate. [Code Civ. Proc. § 526, subd. (a).] Ultimately, the goal of any test used to decide whether a preliminary injunction should issue is to minimize the harm that an erroneous interim decision may cause. [*IT Corp.*, 35 Cal.3d at 73.]

The Court evaluates the merits of Plaintiff’s dissolution cause of action under Corporations Code section 1800, including grounds available to shareholders of close corporations in subdivision (b)(5), and whether alleged misconduct or persistent unfairness support dissolution under subdivision (b)(4). [FAC at ¶¶ 89-95.]

Discussion.

A. DCCI’s Evidentiary Objections.

DCCI’s Evidentiary Objection Nos. 1 through 24 are **OVERRULED**. The Court can distinguish argument from evidence and will give declarations appropriate weight, relying on underlying documents as needed.

B. Mr. Chapin, Jr.’s Request for Live Testimony.

Mr. Chapin, Jr.’s request for live testimony is **DENIED**. The Court has sufficient written evidence to decide the matter, so no good cause is shown. [Cal. Rules of Ct., rule 3.1306.] Testimony regarding Mr. Chapin, Jr.’s historical and present roles was covered in his declaration. [Chapin, Jr. Decl., filed 9/8/26, at ¶ 10.] Also, Jan Marie Hales, the estate planning attorney for Mr. Chapin and his wife, provided some historical context regarding DCCI and the

creation of the various trusts. [Hales Decl., filed 9/8/26, *passim*.] The Court is not making findings regarding “disputed material facts.” [Mr. Chapin, Jr.’s Request to Present Oral Testimony at Hearing at 2:3-5.]

C. Likelihood of Success on the Merits.

As the party seeking a preliminary injunction, Plaintiff bears the burden of showing at least a reasonable probability of success on the merits of her Seventh Cause of Action. [*IT Corp.*, 35 Cal.3d at 73-74.]

Plaintiff asserts that a preliminary injunction is required because Mr. Chapin, Jr. is attempting to secure the votes to revoke DCCI’s close-corporation status, while Plaintiff has a verified Seventh Cause of Action for Involuntary Dissolution under Corporations Code section 1800, subdivisions (b)(4) and (b)(5), still pending in this Court.

“In enacting the two separate provisions of subdivision (b)(4) and (b)(5) [of Corporations Code section 1800], the Legislature clearly distinguished between a cause of action for involuntary dissolution based on the controlling shareholders’ misconduct, and one based specifically on protection of the rights, interests and expectations of complaining minority shareholders.” [*Bauer v. Bauer* (1996) 46 Cal.App.4th 1106, 1113-1114.] “Involuntary corporate dissolution under subdivision (b)(4) requires a showing that those in control of the corporation have been guilty of, or have knowingly countenanced, ‘persistent and pervasive fraud, mismanagement or abuse of authority or persistent unfairness toward any shareholders,’ or that the corporation’s property ‘is being misapplied or wasted by its directors or officers.’” [*Id.* at 1113.] “The grounds for involuntary corporate dissolution under subdivision (b)(5) are considerably broader than those in subdivision (b)(4).” [*Id.* at 1116.] Subdivision (b)(5) “applies only to corporations with 35 or fewer shareholders” and “permits involuntary liquidation of a corporation whenever ‘*reasonably necessary* for the protection of the rights or interests of the complaining shareholder or shareholders.’” [*Ibid.* (original italics).]

Plaintiff’s dissolution claim faces substantial hurdles. California authorities emphasize the extraordinary nature of dissolution and the need to show persistent misconduct or that liquidation is reasonably necessary to protect minority interests. [*Stumpf v. C.E. Stumpf & Sons, Inc.* (1975) 47 Cal.App.3d 230, 235; *Stuparich v. Harbor Furniture Manufacturing, Inc.* (2000) 83 Cal.App.4th 1268, 1275 (citing *Stumpf*, 47 Cal.App.3d at 235).] For example, in *Stumpf*, the court ordered dissolution because of extreme circumstances: founders ousted from control, denial of access to employment, and deprivation of meaningful returns despite significant ownership. [*Stumpf*, 47 Cal.App.3d at 232, 235-236.] Here, Plaintiff outright owns approximately 2.77% of DCCI’s shares. [Plaintiff’s Decl., filed 8/28/26, at ¶¶ 3, 5-6, and Exh. A at p. 73.] She does not contend she ever participated in management. [*Id.*, *passim*.] At most, Plaintiff worked “for a Chapin facility or for a Chapin related entity” while she lived in California and before she moved to Oregon in 2024. [Plaintiff’s Supp. Decl., filed 9/14/26, at ¶¶ 2-5; Mr. Chapin, Jr.’s Decl., filed at 9/8/26, at ¶ 10.] Plaintiff alleges trustee conflicts, lack of dividends, and unfair treatment. [FAC at ¶¶ 91-92.] While such allegations may raise fairness issues, they more readily support monetary remedies rather than involuntary dissolution. [*De Martini v. Scavenger’s Protective Assn.* (1935) 3 Cal.App.2d 691, 698 (plaintiff can recover as damages their portion of the amount

of dividends improperly converted); *Jara v. Supreme Meats, Inc.* (2004) 121 Cal.App.4th 1238, 1260 (same); see Corp. Code § 2000 (allowing a buyout to avoid involuntary dissolution).]

In sum, Plaintiff's allegations of unfair treatment, trustee conflicts and liability-limiting provisions [FAC at ¶¶ 91-92] do not presently demonstrate that she is likely to succeed on the merits of her Seventh Cause of Action for dissolution under Corporations Code section 1800, subdivisions (b)(4) and (b)(5). Monetary damages, if necessary, can address these allegations rather than a preliminary injunction.

D. Balance of Interim Harm.

"To obtain a preliminary injunction, a plaintiff ordinarily is required to present evidence of the irreparable injury or interim harm that it will suffer if an injunction is not issued pending an adjudication of the merits." [*Costa Mesa City Employees' Assn. v. City of Costa Mesa* (2012) 209 Cal.App.4th 298, 305.] Regarding interim harm, this factor "involves consideration of such things as the inadequacy of other remedies, the degree of irreparable harm, and the necessity of preserving the status quo." [*Take Me Home Rescue v. Luri* (2012) 208 Cal.App.4th 1342, 1350 (internal quotes and citation omitted).]

Plaintiff argues that she will suffer greater interim harm because a preliminary injunction will not prevent DCCI from operating its construction business and will only delay restructuring without shutting it down. Mr. Chapin, Jr. argues the opposite – these are ordinary acts for an ongoing construction business. Delaying means costs – time, professional fees, uncertainty in DCCI's constituent documents, and the risk that a noticed annual meeting collapses into serial emergency motion practice. Mr. Chapin, Jr. also argues that Plaintiff could have cured her "harms" by accepting reasonably tailored reservations and carve-outs, which she did not propose. DCCI notes that an injunction would give the holder of approximately 2.77% of outstanding shares a provisional veto that the governing documents and the Corporations Code do not confer. Each share is entitled to one vote under Corporations Code section 700.

Here, Plaintiff's alleged interim harms are speculative and largely address potential future litigation disadvantage rather than immediate irreparable injury or interim harm. Plaintiff can challenge DCCI's conversion and amendments to DCCI's bylaws under Corporations Code section 709 after the fact. The restructuring neither impairs Plaintiff's share ownership nor ability to vote. It also does not permanently foreclose judicial review. By contrast, enjoining the vote would freeze ordinary corporate governance, impose substantial operational uncertainty, and create a de facto minority veto not authorized by statute. DCCI and Mr. Chapin, Jr. also proposed stipulations that would preserve Plaintiff's rights through adjudication. Plaintiff declined those proposals.

The Court separately considers Plaintiff's claim that converting DCCI into a general corporation could remove protections available to close corporation shareholders under Corporations Code section 1800, subdivision (b)(5). [Reply, filed 9/14/26, at 7:16-18.] DCCI clearly states that Plaintiff would still have standing to seek dissolution even if DCCI's conversion receives the required two-thirds approval under section 1152. [DCCI's Supp. Opp., filed 9/8/26, at 8:6-9.] This standing includes not only the right to pursue dissolution but also the

right to do so based on grounds specific to close corporations according to section 1800, subdivision (b)(5). Any court order for dissolution would affect DCCI regardless of its corporate form at the time of judgment. If they accept the Court’s analysis of standing, Defendants would be judicially estopped from arguing that section 1800, subdivision (b)(5), is not applicable or that DCCI no longer qualifies as “close.” [See *Rodriguez v. Packers Sanitation Services LTD., LLC* (2025) 109 Cal.App.5th 69, 77 (discussing judicial estoppel).] Absent this understanding, the Court would favor maintaining the current situation and the status of the conversion vote, considering the balance of harms in Plaintiff’s favor.

Conclusion.

Given the availability of monetary remedies and post-vote challenges, and the low probability that Plaintiff will ultimately prevail on dissolution, the balance of equities does not favor an injunction. Therefore, Plaintiff’s Application for Preliminary Injunction is **DENIED**, and the Temporary Restraining Order is **DISSOLVED**.

The Court notes that, based on Defendants’ representations, Plaintiff will retain standing to pursue her dissolution claim and may continue to rely upon Corporations Code section 1800, subdivision (b)(5), regardless of corporate conversion. The Court’s ruling is contingent on Defendants’ estoppel from asserting lack of standing on that basis.

If Plaintiff believes any specific subsequent act impairs her rights, she may seek narrowly tailored relief or challenge completed corporate acts under Corporations Code section 709.

DCCI shall prepare the Proposed Order consistent with this Tentative Ruling.

NOTE REGARDING TENTATIVE RULING

This tentative ruling becomes the Court’s order, and no hearing shall be held unless a party contests. [Cal. Rules of Ct., rule 3.1308; Super. Ct. Monterey County, Local Rules, rule 7.9.] The party wishing to present oral argument must notify all other parties and the Court no later than 4:00 p.m. on the court day before the hearing; otherwise, **NO ORAL ARGUMENT WILL BE PERMITTED, AND THE TENTATIVE RULING WILL BECOME THE ORDER OF THE COURT, AND THE HEARING WILL BE VACATED.** You must notify the court by [email](#) or by calling the Calendar Department at 831-647-5800, extension 3040, before 4:00 p.m. on the court day before the hearing.